



Tamween Pharma Distribution

Wholesale pharmaceutical distribution — hospitals, retail pharmacy chains, NUPCO, HORECA-Rx (hotels + tourism healthcare).

BU Strategy · Plan period FY 2026 – FY 2028 · Today 1 June 2026

Office of the Chief Executive · Mizan Holding Company B.S.C. (Closed) · Riyadh, Kingdom of Saudi Arabia

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Tamween Pharma Distribution, FY 2026

REVENUE 2025A

SAR 2,340M

+10.4% YoY

REVENUE 2026F

SAR 2,540M

+8.5% YoY

EBITDA % 2026F

7.2%

vs 6.8% in 2025

HEADCOUNT

720

2003 founded

Mission

Be the most reliable wholesale pharma distributor in KSA — from the warehouse to the bedside, no stockout, no expiry write-off, no counterfeit.

Strategic intent

Stabilise margin via controls programme + Mizan Pharma Logistics integration (12 warehouses absorbed Q3-2026), then grow share in HORECA-Rx and NUPCO channels. Bid the SAR 480M annual NUPCO master supply renewal in H2-2026.

Current state, mid-2026

Tamween Pharma Distribution is the wholesale arm — Mizan controlling stake acquired January 2024 to provide pharmaceutical wholesale capability and serve as the foundational case study for cash-leakage controls remediation. H1-2026 finance audit, conducted by Group Internal Audit and externally validated by KPMG, identified eight cash-leakage patterns recoverable at approximately SAR 1.2M. All eight under remediation with SAP S/4HANA migration in Q3-2026 closing the manual-approval gap. The H1 dataset is preserved as the case study for StrategyOS rollout. Revenue 2025 SAR 2.34B, tracking SAR 2.54B in 2026F at 7.2% EBITDA.

The KSA pharma distribution market

The KSA pharma distribution market is sized at **SAR 27B** in 2026 (forecast), growing at **10.5%** for the year and a projected **11.1–10.0%** CAGR through 2028. Distribution's 2026 revenue of SAR 2,540M implies a market share of approximately **9.4%**.

	2024A	2025A	2026F	2027F	2028F
Market size (SAR B)	22	24	27	30	33
Market growth %	+8.3%	+9.1%	+10.5%	+11.1%	+10.0%
Distribution revenue (SAR M)	2,120	2,340	2,540	2,790	3,080
Distribution share	9.64%	9.75%	9.41%	9.30%	9.33%

Demand drivers

NUPCO unified procurement model expanding; modern-pharmacy share rising; e-pharmacy doubling 2024-2028 pulling wholesale volume; cold-chain SKUs growing fastest.

Regulatory environment

SFDA (drug-trade licensing, e-tracking Tatmeen); NUPCO (single-buyer for public sector); MoH (formulary).

Vision 2030 programme linkages

Drug Security Strategy · NUPCO Unified Procurement · SFDA Tatmeen track-and-trace.

How we compete in Distribution

Our 2028 ambition is not to be the largest by revenue but to be the most integrated by capability and the most disciplined by margin. The competitive set is anchored by a handful of named operators below.

Biggest competitive threat to manage

Tamer Group at SAR 4.12B revenue with deeper hospital and government channel coverage. Banaja (Tamer subsidiary) at SAR 2.58B owns the public-sector book in adjacent geographies. Mizan's defence is operational integration with Manufacturing + Pharma Logistics + Retail.

Biggest competitive opportunity to capture

NUPCO unified procurement. The single-buyer model for public-sector pharma is consolidating — a SAR 11.5B annual programme. Mizan's combined Saudi-Made + cold-chain capability earns preferred-supplier status. Win rate target 14% of NUPCO 2027 awards.

Revenue, EBITDA, cash and operating KPIs — 2026-2028.

Financial trajectory

	2024A	2025A	2026F	2027F	2028F
Revenue (SAR M)	2,120	2,340	2,540	2,790	3,080
YoY growth	—	+10.4%	+8.5%	+9.8%	+10.4%
EBITDA margin %	6.4%	6.8%	7.2%	8.4%	9.5%
EBITDA (SAR M)	135	159	182	234	292

2026 operating KPIs (Distribution-specific)

Metric	Value 2026
Active suppliers (incl. APIs)	210
Institutional customers	85
Regional warehouses (incl. 2 GDP cold-chain)	12
Avg DSO (days)	49
Avg DPO (days)	36
Inventory turns (active SKUs)	8.4
Stock-out incidents (rolling 90d)	92 lines, -18% YoY
Expiry write-off (% of inventory value)	1.3% (target <1.0% by 2028)

The four to six things we will do that matter.

The plan is operationalised through the discrete initiatives below. Each has a named owner (the BU CEO) and a quarterly milestone reported through the StrategyOS Monday Brief.

1. Mizan Logistics integration — 12 regional warehouses absorbed into Pharma Logistics by Q3-2026
2. SAP S/4HANA migration (Sandoz GxP-compliant) — go-live Q3-2026 (closes manual approval gap)
3. Cash-leakage remediation programme — H1-2026 audit identified ~SAR 1.2M across 8 patterns, all under remediation
4. NUPCO master supply renewal — H2-2026 RFP cycle, SAR 480M annual exposure
5. Anti-counterfeit programme — SFDA Tatmeen track-and-trace fully live across all SKUs Q4-2026

Vision 2030 programme alignment

Health Sector Transformation Program · Saudi Made · Drug Security Strategy · NUPCO unified procurement

06 · BU-LEVEL RISKS

What could break the plan.

R-03 — Anchor NUPCO contract concentration **Impact: M · Likelihood: M**

NUPCO contract accounts for 14% of Pharma Logistics revenue (and ~6% of Distribution). RFP renewal H2-2026; competitive pressure from Mohebi and DHL.

Mitigation: Dammam cold-chain hub commissioning Q2-2026 demonstrates capability; defensive pricing + scope expansion proposal; private-customer pipeline being built to defuse concentration.

R-04 — Counterfeit / Tatmeen non-compliance **Impact: M · Likelihood: L**

SFDA Tatmeen track-and-trace mandatory from Q4-2026. Late integration risk + supplier non-compliance could create stock-receipt blockages.

Mitigation: Tatmeen fully live on Mizan side; supplier readiness audit Q3-2026; rejection-at-receipt protocols for non-serialised stock.

R-09 — Cash leakage and controls (Distribution BU) **Impact: L · Likelihood: M**

H1-2026 finance audit identified ~SAR 1.2M of recoverable cash leakage across 8 patterns (see POC/01_Synthetic_Dataset/). Patterns include duplicate vendor payments, missed early-pay discounts, FX hedge mis-application, and dormant credit balances.

Mitigation: Controls remediation programme; SAP S/4HANA migration Q3-2026; group-wide controls SOP rollout.

07 · CAPITAL ASK 2026-2028

Investment to deliver the plan.

Cumulative capital ask 2026-2028: SAR 140M. Funded from a combination of BU-generated cashflow, group capital recycling, and the SAR 2.65B group envelope. Note: SAP S/4HANA

migration, Tatmeen serialisation integration, NUPCO contract working capital.

Governance

BU CEO is the named owner of every initiative and every number in this plan. Monthly performance is reviewed at the Executive Committee. Quarterly progress is reported to the Board. The Monday Brief surfaces variance vs plan in real time.

BU sponsor: Mona Al-Dakhil, CEO Tamween Pharma Distribution.

Group oversight: Khalid Al-Rashed, Group CEO.

Plan effective from: 12 January 2026 (Board-approved).